

on to this capex-intensive mode that has a long gestation period.

The rating agency flags two issues—bidding discipline and lenders' willingness—as looming risks for BOT 2.0. It says aggressive bidding could impact the take-off of projects, and all eyes will be on lenders' willingness to re-enter BOTs.

“Average bid premiums (for HAM) tumbled from a peak of 15-20% to around 4-6% in the last few fiscals. As a result, the share of the larger developers has dropped substantially since many of them have refrained from bidding aggressively to protect margins,” Aniket Dani, Director of CRISIL Market Intelligence and Analytics, tells *BT*.

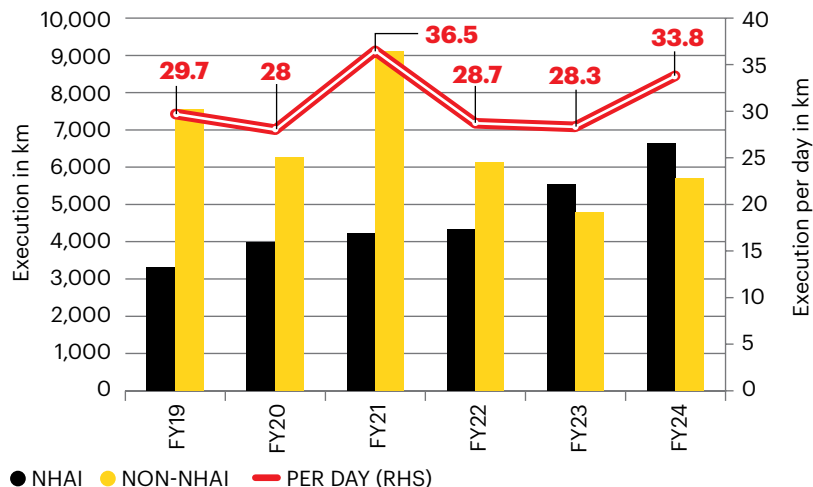
With the amendment in the MCA and given the scope of higher profitability due to lower bidding competitiveness in the BOT space, many large developers are keen on taking up such projects, he adds. But they may find it challenging based on their current balance sheet capacity to finance BOT projects with higher funding requirements.

“Furthermore, the gestation period for BOT projects is longer, which results in higher risk on the part of the players since capital is tied up for a longer period. This also limits the number of players bidding for this model,” explains Dani.

While HAM and BOT projects will co-exist in the near term, BOT aims to reduce NHAI's debt burden, besides opening up a new avenue for financially stronger players. There is also growing interest among foreign investors. “While the interest among developers to bid for BOT projects post the revamping of concession is yet to be seen, participation from foreign funds by tying up with Tier I EPC developers for

ANNUAL EXECUTION

● The government has announced that it wants to increase high-speed access control highways to 50,000 km from 4,000 km now ● ICRA estimates that both NHAI and non-NHAI execution could touch 12,500-13,000 km, with per day execution expected to reach 35.6 km



● NHAI ● NON-NHAI — PER DAY (RHS)

NOTE NON-NHAI REFERS TO STATE AGENCIES OTHER THAN THE NHAI
SOURCE ICRA

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“Given the stringent fundamentals [required], we foresee limited competition. Considering the higher capital needed, competition is lowest for BOT”

ANIL D. YADAV
DIRECTOR-INVESTOR
RELATIONS, IRB

executing the road construction is envisaged. Multiple investors are in discussion with EPC players to bid for BOT projects,” Rishabh Jain, Associate Director at Ind-Ra, tells *BT*. Bidder participation, though, is expected to increase only after the initial few bids.

Per Ind-Ra, the equity contribution could increase to 20-25% under BOT from 10-15% under the HAM mode, but that will be offset by higher margins and lower competition.

WILL HISTORY REPEAT?

Between 2008 and 2012, companies like HCC and Gammon got lured into BOT from EPC due to the promise of quick returns as high as 100% compared to 10% in EPC. But